Tapestry, Inc. (NYSE: TPR)

HOLD

Equity research | Deepangi Arora, ASU W. P. Carey | October 8, 2026

Price $115.82 | 12-month target $115

Coach is a great brand. Today's price already assumes it stays great for five more years.

The stock is down 30% from its August high, which makes it look cheap at 14.8x this year's earnings. I don't think it is. At a 10-year Treasury of 5.3%, the price only works if Coach keeps growing about 8% a year through FY2031.

WHAT'S GOING RIGHT

- **Coach is in a real upcycle.** Sales grew 24% in FY2026 to $6.9B, and Tapestry added about 11 million new customers, 35% of them Gen Z. Handbag prices rose at a mid-teens rate, so this is pricing power, not discounting.
- **It throws off cash.** Free cash flow was $1.8B in FY2026, and Tapestry plans to return $1.7B in FY2027 through buybacks and a dividend raised 16%. That is about 7% of the market cap every year.

WHY I'M NOT BUYING AT $115.82

- **Growth is already slowing.** Coach grew 15% in Q4 against 24% for the year. FY2027 guidance implies Coach grows about 8%, and that includes an extra (53rd) week.
- **Kate Spade is still shrinking.** Sales fell 10% in FY2026, the store count went from 360 to 326, and guidance calls for another high single digit decline with a small operating loss.
- **Rates changed the math.** The 10-year Treasury hit 5.28% on Oct 7, its highest since 2002. With Tapestry's 1.43 beta, my WACC is 10.7%. My Base case is worth $104.60. To get to the Street's average target of $166.50, I would need a WACC under 8%.

WHAT WOULD CHANGE MY MIND

Upgrade to Buy if Coach keeps growing 8%+ after FY2027 (the Bull case is worth $124) or if rates fall enough to bring the WACC near 9.5% (Base becomes ~$125). **Downgrade** if Coach growth turns negative: the handbag cycle that hit Michael Kors after 2015 is the Bear case, worth $73.

CATALYSTS AND RISKS

- **Q1 FY2027 earnings (early November):** guidance is high single digit growth and EPS of about $1.55. A big Coach beat is the fastest way to prove me wrong.
- **Risks:** China (sales up 32% in FY2026, so it could slow just as fast), tariffs (guidance assumes a mid-20% rate) and fashion risk, since Coach is now 86.5% of sales.

BASE CASE ESTIMATES

	FY26A	FY27E	FY28E
Net sales ($M)	7,990	8,450	8,831
Coach growth	23.5%	7.9%	5.5%
Operating margin	23.4%	23.8%	24.2%
Adjusted EPS	$7.05	$7.93	$8.74
P/E at $115.82	16.4x	14.6x	13.3x
Free cash flow ($M)	1,812	1,653	1,764

FY26A is adjusted and excludes Stuart Weitzman. FY27E is within 1% of guidance: $8.4B to $8.5B in sales and $7.80 to $7.90 in EPS.

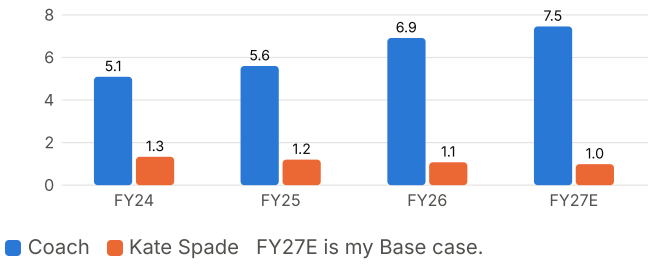
DCF VALUE PER SHARE BY CASE

Case	What has to happen	Value
Bear	Coach stalls after FY27, margin falls to 20.5%	$73.21
Base	**Coach grows ~5% a year, margin 24.5%**	**$104.60**
Priced in	Coach grows 7.9% every year to FY31	$115.75
Bull	Coach grows 6% to 9% a year, margin 26%	$123.66

VALUATION RANGE ($ PER SHARE)



NET SALES BY BRAND ($B)



Sources: Tapestry FY2026 Form 10-K and Q4 FY2026 earnings release (Aug 13, 2026); U.S. Treasury daily par yield curve; stockanalysis.com (prices, beta, peer multiples, consensus target); MarketBeat (target range); Damodaran implied equity risk premium (Jan 2026). WACC 10.7% = 9.3% debt at 4.9% after tax + 90.7% equity at 11.3% (5.28% + 1.43 × 4.23%). Terminal growth 3%. Full model: Tapestry_Valuation_Model.xlsx. Student research for educational purposes, not investment advice.